

PLNT pitch deck

PITCH — PLNT — VERDICT

PROPOSED — PENDING ADJUDICATION — no position today at ~\$52.54; the honest valuation is ~10.3× (10.9× counting the tax-receivable obligation), not the 9.6× the original brief claimed, and the reopen bid is \$45.75.

What we believe

Planet Fitness is a franchisor whose growth engine visibly broke in the first half of 2026 and whose management response is a marketing fix, not a price cut or a model change. Specifically:

- New member joins fell **36% year over year**, and same-store sales growth decelerated from **+8.2% to +1.7%**.
- Total members still rose, 20.8M in December to 21.5M in June — the base is holding, the *funnel* is what shrank.
- The company kept its full-year revenue guide at roughly **+7%** and raised its earnings-per-share guide from **+4%** to **+6%** — but the EPS raise is entirely share count. The same release *lowered* adjusted net income guidance from **-2%** to **-3%**, raised the net interest expense guide to \$115.0M, and disclosed \$75.0M drawn on the variable funding notes. The company bought back \$200.0M / 4.0M shares in the quarter. Fewer shares, less profit, more debt.
- The stock is down **54%** from its 52-week high of \$114.26.

Our working belief is that this is a *self-inflicted, reversible* demand air pocket (a price increase on the entry-level membership from \$10 to \$15, plus a marketing miss) rather than a secular decline in low-cost fitness. **We could not prove that.** The alternative reading — that raising the entry price permanently cut off the low-income joiner who is the whole point of the model — fits every disclosed number equally well.

That is why this is not a buy at today's price. It is a name we want to own at a price where we are paid for not knowing.

What the market believes

The market believes the same thing we do, and is *more* bullish than we are.

Eighteen analysts cover it. The consensus rating is Buy, the mean target is **\$67.48**, and the range is **\$49.20 to \$106.00**. Consensus models fiscal 2027 adjusted EPS at **\$3.64, up 11.45%** from \$3.27 in 2026 — i.e., the street explicitly underwrites the re-acceleration we are hypothesizing.

But the *price* does not reflect that. At ~\$52.49 the stock trades **\$3.29 above the single most bearish target on the street** and **22% below the mean**. That is $14.4\times$ the street's own 2027 number for a franchise business with 90%+ recurring revenue. The sell side's opinion and the tape have come apart. Either the street cuts, or the price moves.

Why we might have edge

1. **The gap between the tape and the street's own floor.** We are not claiming to know something no analyst knows. We are noting that the market is pricing closer to the bear target than to the consensus, which makes this a gradeable disagreement with an external scoreboard, not a private opinion.
2. **A number nobody published.** Reiterating an unchanged full-year guide after a big first half silently sets a low bar for the second half. Backing it out: first half 2026 revenue was **\$702.5M vs \$617.5M**, up 13.8%. Full year 2025 was \$1,296M; $\times 1.07 = \$1,387\text{M}$. That implies **second-half 2026 revenue of \$684.5M, up 0.9%** against \$678.5M last year. Management has already guided the back half to flat and said so nowhere in plain words. Anything better than flat is upside to a bar nobody is looking at; the risk is that even flat is at risk (see below).
3. **Franchisees are still spending.** Equipment revenue in the first half was **\$147.7M vs \$110.0M, up 34.3%**. Franchisees committing capital is a harder signal than anything management says on a call.
4. **A disclosure discrepancy we found ourselves.** A securities class action, *Matsunaga v. Planet Fitness*, No. 1:26-cv-00576 (D.N.H.), was filed **07/14/2026** — twenty-three days before the 10-Q whose legal note describes the company's litigation as "employment-related claims and slip and fall cases." The case is not named. That is a fact about management's candor, and it is ours before it is the street's.

Why it might be priced in

Stated plainly, this is the stronger side of the argument today.

1. **It is not cheap.** The brief that opened this file claimed an all-time-low $9.6\times$ EV/EBITDA. That number was wrong in four inputs (detailed in the table below). Rebuilt from the actual balance sheet, enterprise value is **\$6,000M = $10.26\times$** the \$584.7M 2026 EBITDA estimate, and **\$6,362M = $10.88\times$** once you include the \$361.4M tax-receivable obligation owed to the legacy pre-IPO owners — a contractual cash claim that sits ahead of us.
2. **The dislocation is 42% stale.** The stock is **+41.9%** off its \$37.03 low. At that low the same rebuild prints **$8.26\times / 8.88\times$** . Whoever bought the reversible-cause thesis has already been paid most of it. We would be buying the last third of a re-rating.
3. **Everyone already agrees with us.** Consensus is Buy with a \$67 target and a 2027 acceleration in the model. We are not the contrarian here — our own arithmetic ($+6\%$ EBITDA) is *below* the street. Being less bullish than a Buy-rated consensus is not an edge.

4. **The unit guide is at serious risk.** Thirty-eight clubs opened in the first half against a reiterated full-year guide of 180–190. That requires **142–152 openings in the second half — 79% of the year.** If that slips, even the flat revenue bar breaks.
5. **The trade-up story is probably not real.** Black Card penetration reportedly rose 210bps to 68%. Killing the \$10 joiner mechanically raises the premium tier’s share of joins with zero members actually upgrading. Same number, opposite meaning.
6. **The honesty question is live and unresolved.** Until the litigation note question is settled, we cannot treat this as a fairly-priced risk. We cap what we’ll pay at 85% of our fair value estimate and sell no options against it.

What we checked ourselves

Both benches worked from the same evidence pack and both discarded parts of it. The pack’s quarterly revenue series stops at 2025-06-30 and every share-based-comp and operating-cash-flow row is stamped 03-31 — a data defect. Neither bench used them. SEC.gov returned 403s to both benches; all primary documents below were fetched through a text proxy, which is a chain-of-custody caveat we are stating rather than hiding.

Primary sources: [10-Q for 2026-06-30](#) · [8-K Exhibit 99.1, Q2 2026 press release](#) · [Matsunaga complaint](#)

Claim	How checked	Found	Confirmed?
“All-time-low 9.6× EV/EBITDA” (the original brief’s one quantified reason to look)	Re-pulled every input from the 10-Q balance sheet and cover page	Four errors: (a) brief netted \$544.4M cash; actual is \$298.3M cash + \$173.2M securities = \$471.5M , the \$72.9M difference being restricted cash trapped in the securitization boxes; (b) the \$361.4M tax-receivable obligation was omitted entirely; (c) brief implied 71.4M shares, cover page says 75,533,093 ; (d) debt is \$2,503.2M at principal, not \$2,448.3M. Understates enterprise value by ~\$715M. Honest figure: 10.26× , 10.88% incl. the obligation	NO — our own opening brief was wrong. Both benches agree
...but is 10.3× an all-time low?	Attempted time-series check	Neither bench ever checked it. The correction fixes today’s level; it does not test the historical claim, because the obligation and restricted cash existed (larger) in prior periods too	UNVERIFIED — the load-bearing number in this file
“Deeply dislocated, unadjudicated”	Pack tape	Down 54.3% from the high but up 41.9% from the \$37.03 low , where the rebuild prints 8.26×	Confirmed — dislocation is real but two-thirds harvested
“The street hasn’t figured this out” (our skeptic’s kill)	Consensus: 18 analysts, Buy, mean \$67.48, range \$49.20–\$106.00	Our skeptic argued this was fatal — the street already models the recovery. That was a mistake. Coverage and opinion are not price. The tape sits \$3.29 above the <i>most bearish</i> target on the street. The disagreement is with the price, not the analysts	Our own skeptic bench erred. Kill overturned

Claim	How checked	Found	Confirmed?
“The revenue guide is back-end-loaded and at risk” (our skeptic’s finding #7)	First-half actuals vs full-year guide	Inverted. Revenue is <i>front</i> -loaded: H1 +13.8%, implied H2 +0.9% . The guide already assumes the back half goes flat. Our skeptic argued against upside the guide never claimed	Our own skeptic bench erred, though the openings problem underneath it is real and worse than stated (38 opened, 142–152 needed)
“Franchisees are being squeezed” (our skeptic’s finding #8)	Segment detail	Franchise segment +13.5% (\$135.8M vs \$119.7M) is confirmed, but the skeptic cited Q2 equipment revenue at +4.1% while first-half equipment is +34.3% . Cherry-picked window	Partially — mechanism is plausible, evidence was selectively framed
Black Card 68%, +210bps = members trading up	Compared transcript against the vetted 8-K exhibit	The figure appears nowhere in the filed exhibit. Transcript only. And it is mechanically consistent with the <i>bear</i> case: killing cheap joins raises premium share with no upgrades. Join mix by tier is not disclosed, so the inference cannot be settled either way	NO — unidentifiable
Attrition “3.5%, midpoint of range” refutes damage	10-Q + release	With joins down 36% the base skews toward tenured members, who churn least — headline churn <i>should</i> have fallen. Flat implies same-tenure churn worsened. Cohort churn is not disclosed	Not disclosed — cannot be used by either side
+6% EPS guide is real earnings growth”	Verbatim from the release	It is 100% share count on ~77.0M shares, partly funded by \$75.0M of drawn notes, against adjusted net income guided down 3% and interest expense guided up to \$115.0M. Earnings guidance got worse at the print that raised EPS	Confirmed
Litigation note completeness	Complaint docket vs the 10-Q legal note	<i>Matsunaga</i> , 1:26-cv-00576 (D.N.H.), class period 11/6/25–5/6/26, filed 07/14/26 — 23 days before a 10-Q describing litigation as slip-and-falls. Not named	Confirmed. This is why we cap the price we’ll pay
Dual-class / pre-IPO structure risk	10-Q cover page	Clean. Class B down to 316,128 shares — the structure is effectively collapsed, no share-count artifact. Stated so nobody re-litigates it	Confirmed clean
Is the deceleration real or a seasonal artifact?	Our mandatory seasonality check	Never run by either bench. 2025’s +6.7% comp was itself rate-led (lapping the \$10→\$15 increase), and 20.8M→21.5M is a normal winter-to-summer build. “+8.2% → +1.7%” may be partly a base effect. Both benches took it at face value	Our process was skipped
Independent alt-data read on foot traffic / sentiment	App review velocity, product heat, location reviews	Nothing resolved for PLNT. App unresolved, search returned no data, club reviews had no comparable cohort. Only the Crunch Fitness peer anchor	Did not run — the one test that would separate self-

Claim	How checked	Found	Confirmed?
		resolved (3.6 reviews/day; recent 4.54 vs lifetime 4.77 stars). An anchor with no subject is not a test	inflicted from industry-wide
Government data cross-check	BLS fitness-facility employment (NAICS 713940)	Available, would date whether the category broke around 2026-05-07 or only PLNT did. Checkable, not checked	Gap, both benches
Source hygiene	Third-party financial aggregator	Its “FY26 revenue +14.92%” is computed off a base inconsistent with the company’s own \$1,296M for 2025. Do not build anything on that series	Caught and excluded

PROPOSED ENTRY BANDS

Today: no position. Do not buy at \$52.54. The reason is price, not argument — the thesis survived court; the valuation did not.

	Level	Basis
Immediate action	None	At \$52.54 the fully-loaded multiple is 10.88×. Nothing to do
Reopen bid	≤ \$45.75	At \$45.75 the fully-loaded enterprise value (including the \$361.4M obligation) prints exactly 10.0× the \$584.7M 2026 EBITDA estimate . This is the level at which the file re-opens, not a limit order to place today — it is 13% below the tape
Second tranche	≤ \$41.00	Roughly 9.2× fully loaded; splits the distance to the \$37.03 low. Only if the reopen bid has filled and no falsifier below has tripped
Hard floor reference	\$37.03	The 52-week low, where the rebuild prints 8.26× / 8.88×. Not a target — a reminder that the multiple we are calling “cheap” was 20% cheaper five months ago
Watch line (no action)	\$49.20	The lowest analyst target on the street. Below this the tape is under every covering analyst’s number — either a capitulation signal or a warning that estimates are about to be cut. Read the cause before acting
Trims / exits	Not set	We hold nothing. No exit math is owed until a fill happens
Sizing	Starter 0.5% of book , hard cap 1.5% until the lawsuit resolves	Stated honestly: neither bench produced a size number. Broker market-data access was permission-denied to both, so we have no average-daily-volume figure and cannot set a participation rate. This size is a placeholder set by the analyst, not derived from the court. Because the litigation-note discrepancy is unresolved, we will not pay more than 85% of our fair value

Level	Basis
	estimate and will not sell options against the position

Conditions that must hold at the time of any fill (from the benches' own falsifier lists):

1. Sequential members above 21.5M with volume contributing non-negatively to comps.
2. Second-half openings tracking ≥ 120 by the Q3 print (against the 142–152 required).
3. Second-half revenue on pace for $\geq \$685\text{M}$ (the flat bar the reiterated guide silently set).

Conditions that void the reopen bid entirely:

- 2027 street EPS holds at \$3.64 *and* the price recovers above \$60 — the disagreement closes and there is nothing left to buy.
- Full-year guide is cut at the Q3 print — the \$584.7M EBITDA denominator that every band above rests on is wrong, and all bands must be recomputed before any bid.
- The litigation-note omission escalates (restatement, auditor comment, or an amended complaint reaching disclosure) — this becomes a governance file, not a value file.

Catalyst dates:

- **2026-09-14** — lead-plaintiff deadline in *Matsunaga*. Sourced from the complaint. This determines who runs the case and typically fixes its shape. It sits between here and the print.
- **2026-11-05** — expected Q3 print. **This date is derived from a data vendor and is NOT confirmed by any company announcement.** Do not schedule around it until a press release names it. It is roughly 55 trading days out, so nothing here is print-proximate.
- Q2 already printed **2026-08-06**. Today's tape is post-catalyst; there is no pending event supporting an entry now.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 49.2 (deck-provisional: Watch only: tape breaks below the lowest of 18 analyst targets; read the cause, do not auto-bid)
- filing watch: 8-K until 2027-02-14 (deck-provisional: Q3 print, any FY26 guide revision, or a press release that finally confirms the print date)
- dated pack PLNT|2026-09-14: PLNT: Lead-plaintiff deadline in *Matsunaga v. Planet Fitness*, 1:26-cv-00576 (D.N.H.); sourced from the filed complaint (date confirmed=True)
- dated pack PLNT|2026-11-05: PLNT: Expected Q3 2026 earnings; vendor-derived only, no company announcement names this date (date confirmed=False)

What remains unverified

Stated without softening — this list is longer than the confirmed list.

1. **Whether 10.3× is actually an all-time low.** The single quantified reason this file was opened was never tested by anyone. Correcting today's level does not answer a historical question.
2. **Whether the demand break is self-inflicted or the category's.** The one test designed to separate those — comparing this company's app and location sentiment against a peer around the 2026-05-07 breakpoint — never executed. Everything in the "reversible cause" belief rests on an untested premise.
3. **Whether the deceleration is even as bad as the headline.** Our seasonality check was skipped. Part of the +8.2%→+1.7% move may be lapping last year's price increase rather than new weakness.
4. **Same-tenure churn.** Not disclosed at cohort level. Both the bull's "retention is fine" and the bear's "retention is quietly deteriorating" are unfalsifiable on public data.
5. **Whether the Black Card figure means anything.** Not in the filed exhibit, and join mix by tier is not disclosed.
6. **Whether the second-half opening schedule is achievable.** No club-level pipeline is disclosed by geography, so the 142–152 requirement cannot be tested until it either happens or doesn't. Our building-permit trackers do not apply — franchisees build these on leased retail, so the permits are pulled by parties we cannot identify.
7. **Our own 2027 number.** We do not have one. Every valuation argument above rents the street's \$3.64. That is a genuine limit on conviction and the main reason the size cap is small.
8. **Average daily volume and therefore executability.** Broker data was permission-denied to both benches. We do not know what size we can build without moving the tape.
9. **The Q3 print date.**
10. **Whether the litigation-note omission is misconduct or a materiality judgment.** We know the case existed 23 days before the filing and is not named. We do not know why. We are treating it as an unresolved honesty question, which caps price and forbids option selling, and we should be clear that this is a precaution, not a conclusion.

Bottom line for the adjudicator: the business case survived. Our own valuation did not — it was off by roughly \$715M of enterprise value, and correcting it moves this from "unusually cheap" to "ordinary." Two of our skeptic's three strongest kills also failed on re-check, so the file is alive. It is alive at \$45.75, not at \$52.54.

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